10 Nov 2026 08:33:07 ET | 12 pages

Zhen Ding Technology (4958.TW)

3Q26 margin beat on AI infra business; Buy

CITI'S TAKE

Zhen Ding's record 3Q26 GM of 27.7% (+4.6ppt QoQ) came 2.1ppt/2.6ppt higher than Citi/consensus forecasts, which we attribute to its AI infra businesses (especially ABF/BT substrate). ABF substrate now still runs at full UTR, while optical/server demand ramps up continuously. Higher 3Q26 OPEX ratio vs 3Q25 was likely due to R&D expenses for upcoming projects. Overall, OP levels came in line with Citi forecast but beat consensus forecast by 11%. Non-op was due to high FX loss. As we previewed, we expect new AI infra businesses to be the key drivers from 3Q26 onward, while Apple-related business is muted in 2026E/27E with limited GM downside given mSAP supply tightness, in our view. Considering enhanced product mix, we think ZDT's GM could continues expanding in 4Q26E and likely 1Q27E backed by sustained growth in AI infra businesses. We reiterate our Buy rating with TP NT$750 (27x 2027E EPS).

Buy

Price (10 Nov 26 13:30)	NT$430.50
Target price	NT$750.00
Expected share price return	74.2%
Expected dividend yield	1.7%
Expected total return	75.9%
Market Cap	NT$487,927M US$14,886M

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Figure 1. Zhen Ding's 3Q26 results

(NT$mn)	3Q26 Actual	3Q25 Actual	2Q26 Actual	YoY	QoQ	3Q26 Citi	diff	3Q26 Consensus	diff
Revenue	64,624	47,366	48,431	36%	33%	64,415	0%	63,943	1%
Gross profit	17,913	10,410	11,186	72%	60%	16,510	8%	16,080	11%
OP profit	8,717	4,530	3,761	92%	132%	8,716	0%	7,866	11%
Non-op	(692)	131	1,170			221		252	
PBT	8,026	4,661	4,931	72%	63%	8,937	-10%	8,118	-1%
Tax	(1,110)	(1,072)	(1,204)			(1,787)		na	
Minority	(2,419)	(1,197)	(1,335)			(2,073)		na	
Net Income	4,496	2,392	2,392	88%	88%	5,076	-11%	4,865	-8%
EPS (NT$)	4.05	2.16	2.16	88%	88%	4.58	-11%	4.39	-8%
GM	27.7%	22.0%	23.1%	5.7 ppt	4.6 ppt	25.6%	2.1 ppt	25.1%	2.6 ppt
OPEX ratio	-14.2%	-12.4%	-15.3%	-1.8 ppt	1.1 ppt	-12.1%	-2.1 ppt	-12.8%	-1.4 ppt
OPM	13.5%	9.6%	7.8%	3.9 ppt	5.7 ppt	13.5%	-0.0 ppt	12.3%	1.2 ppt
Tax rate	13.8%	23.0%	24.4%			20.0%		na	
NM	7.0%	5.0%	4.9%	1.9 ppt	2.0 ppt	7.9%	-0.9 ppt	7.6%	-0.7 ppt

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Source: Citi Research Estimates, Bloomberg

Bull/Bear: Zhen Ding Technology

NT$ 800.00 ▲86% Upside | NT$ 750.00 ▲74% Upside | NT$ 500.00 ▲16% Upside



Spread 70pp
Current Price and expected returns (upside/downside) as of 10 Nov 2026

BULL Assumptions

- Stronger market share gains in SLP/HDI
- More progress in AI business, especially in GB200
- Better ABF demand from China market

BASE Assumptions

- 2027/28E sales growth of +35%/+27% YoY
- 2027/28E GM of 29.4%/33.1%

BEAR Assumptions

- Harsher margin dilution from stronger capex
- Worse-than-expected ABF demand from China market

Zhen Ding Technology

Valuation

We set a DCF-based TP of NT$750. We use a DCF-based valuation to reflect ZDT's ability to generate stable cash flows. Key assumptions of our DCF model include a risk-free rate of 5.2% (10-year government bond rate), a market risk premium of 7%, and an equity beta of 0.89 (1-year weekly share price), deriving a WACC of 10.7%. Our model assumes high-single-digit long-term growth after 2028E and a 21.6% EBIT margin from 2028E with a gradual annual increase. Our TP is equivalent to 27x/17x 2027E/28E EPS and 4.5x/3.8x 2027E/28E BVPS.

Risks

Key downside risks that could cause the stock to trade below our target price include: 1) lower-than-expected iPhone/Mac/iPad end-demand; 2) lower content value for new smartphone models or pricing pressure; 3) ZDT losing market share from its FPC/HDI peers; 4) a slower demand in the substrate industry; 5) failure to pass the qualifications of major AI GPU or ASIC customers.

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Appendix A-1

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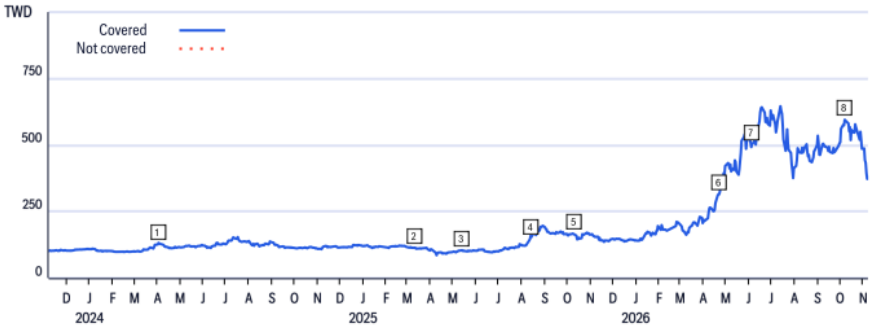
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Ratings and Target Price History
Fundamental Research

Analyst: Jack Chen



	Date	Rating	Target Price	Closing Price
1	01-Apr-24 14:07:45	1	*180.00	126.50
2	11-Mar-25 14:42:34	1	*150.00	113.50
3	13-May-25 13:56:39	1	*127.00	104.50
4	12-Aug-25 21:00:15	1	*170.00	147.00
5	10-Oct-25 03:35:47	*3	*150.00	166.00
6	22-Apr-26 04:54:40	3	*180.00	315.00
7	05-Jun-26 11:34:58	*1	*600.00	504.00
8	07-Oct-26 15:44:06	1	*750.00	595.00

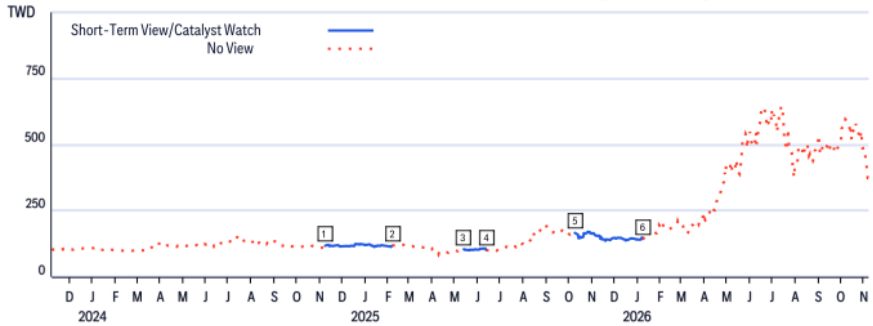
*Indicates Change

Rating/target price changes above reflect Eastern Time

Zhen Ding Technology (4958.TW)

Short-Term View/Catalyst Watch Research

Analyst: Jack Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Nov-24 08:14:31	Add CW	Upside	90 Days	117.50
2	06-Feb-25 19:44:32	Remove CW	Upside	90 Days	117.50
3	13-May-25 09:56:39	Add STV	Downside	30 Days	104.50
4	12-Jun-25 21:35:38	Remove STV	Downside	30 Days	101.00
5	09-Oct-25 23:35:47	Add CW	Downside	90 Days	166.00
6	08-Jan-26 19:58:49	Remove CW	Downside	90 Days	143.00

CW - Catalyst Watch , STV - Short-Term View

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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